



BUSINESS PLAN

Alpha Hours

The Alpha day, after school. A premium after-school business inside Alpha buildings, built for the families who will never enroll at Alpha.

PREPARED BY

Nancy Wisniewski Torvund, proposed Head of Alpha Hours

DATE

August 27, 2026

STATUS

Draft for review

AT A GLANCE

\$4,500

per seven-week session, five sessions a year. \$22,500 a year, about a third of Alpha tuition.

New York first

Session 2, October 19, 2026.
Greenwich and Boston in Session 3, Chicago and Florida in Session 4, national Fall 2027.

\$101M

revenue run rate at capacity from Session 4, nine campuses, 1,127 seats, 4,508 enrolled.

\$28.2M

Year 1 net on the plan case, leaving Session 5 at an \$82M run rate.

83%

site margin at capacity.
Guides hired to sold seats; fixed cost \$188K a campus.

15 students

break-even per campus, about four per cohort.
Profitable at zero conversions.

What Alpha Hours is

Alpha Hours is a premium after-school and Saturday business that runs inside Alpha School buildings after the regular school day ends. It delivers the Alpha day, mastery-based academics on Timeback followed by a life skills workshop, and it is built for the families who will never enroll at Alpha. In every city, most families will not enroll at Alpha, for reasons that have nothing to do with whether they want what Alpha does: they love their school, they cannot or will not pay \$40,000 to \$75,000, they were not admitted, the commute does not work, the siblings are somewhere else. Those families are the market. Alpha Hours sells them the Alpha day, after school, for \$4,500 a seven-week session, \$22,500 a year, for as long as their child is in K-8.

The business does four things, in this order:

- 1. It makes money on the families who will never enroll.** A premium after-school offering priced above every competitor, sold to every family in the city who will pay for it, most of whom will never apply to Alpha and never need to. It is a P&L, and it clears its P&L at zero conversions.
- 2. It uses real estate we already pay for.** Alpha campuses sit empty after 3:30 and on weekends. Alpha Hours turns those hours into revenue at close to zero added facility cost.
- 3. It serves Alpha's own families.** Almost every Alpha campus ends the school day at 3:30 with nothing behind it. Current Alpha students enroll at the same session price with a 5 percent family discount and walk down the hall.
- 4. Upside: it feeds Alpha.** Some families in the room are deciding on Alpha, and some were told "not yet." They get a paid trial with data instead of a free shadow day, and a paid roadmap back instead of a letter. The ones who convert are worth \$160,000 to \$325,000 each in lifetime tuition. That is upside on a business that works without it.

Success is measured on the first three: site profit and revenue, re-enrollment, building utilization, and current-family enrollment. Conversions to full Alpha are reported every session as the upside line. The Head of Alpha Hours is reviewed on the P&L first.

Where it fits

Alpha's ambition is a billion kids learning this way. Campuses get there one building and one enrolled family at a time, and a full-time seat reaches one child. Alpha Hours reaches the children who will never sit in that seat. It puts four children on every seat after 3:30, six once the evening block opens, in buildings Alpha already pays for, sold to a market Alpha has never had a product for. At capacity the full network has 11,908 children on Timeback after school, more than Alpha enrolls full-time today, without a single new lease. It is a business unit with its own P&L, it sweats assets that sit dark most of the week, and it opens a new market. Each of those moves the count of children learning on Timeback, which is the number the mission is measured in.

Launch: Session 2, October 19 to December 18, 2026, in New York only: 180 Maiden Lane (100 seats) and 156 William Street (30 seats), 520 enrolled at capacity, an \$11.7M revenue run rate. Session 3 (January 4, 2027) adds Greenwich (Armonk, 80) and Boston (40 and 100). Session 4 (February 24, 2027) adds Chicago at its expanded 517 seats and Miami (150), Palm Beach (60) and Miami Beach (50): nine campuses, 1,127 seats, 4,508 enrolled, a \$101.4M run rate at capacity. Session 5 runs that footprint with no new openings. The national launch, every remaining campus, is Session 1 of Fall 2027.

02

The customer

Families who will never enroll

Alpha will never enroll 100 percent of the families in any city. It will not enroll 10 percent. In New York there are roughly 190 Alpha seats and hundreds of thousands of K-8 children whose parents can pay for a premium after-school program. The families who will never enroll are the market, and their reasons do not change year to year:

- They love their school, and are not leaving it: legacy, siblings, community, a religious or single-sex school, a public school they fought to get into.
- They cannot or will not pay full Alpha tuition, and can pay \$22,500 a year.
- They applied and were not admitted, or were admitted and the timing did not work.
- The commute to Alpha does not work for a full school day, and works fine for two hours or a Saturday.

- They want a traditional school and Alpha academics on the side.
- They are on a waitlist somewhere else, or moving, or waiting for a sibling to age in.

None of those reasons stops the family from buying Alpha Hours. That is what makes this customer the business: no ceiling on tenure, five re-enrollments a year for as long as the child is in K-8, and no acquisition cost after the first session. Kumon built four million students on this customer at \$200 a month.

Three lanes, one room

Every family sits in one of three lanes. The room, the guides, the block and the price are the same in every lane. What differs is what we sell the family, what we measure, and what the family is worth.

Lane	Who	What they buy	How it is measured	Role in the plan
Stay	Families who never plan to enroll at Alpha	The Alpha day, after school, every session, for years	Re-enrollment, tenure in sessions, revenue per seat	The business. The plan is sized on this lane, 70 percent of the mix.
Considering	Families deciding on Alpha	A paid trial with a mastery map and a weeks-to-grade-level projection; the conversion conversation fires on data	Conversion to full Alpha by sessions completed	Upside, 15 percent of the mix. Non-converters move to Stay.
Path to yes	Families Alpha has told "not yet"	A seat, a roadmap with measurable thresholds, a re-evaluation date, seven weeks of data at a time	Share who clear their thresholds, share admitted	Upside, 5 percent of the mix.
Current Alpha families	Alpha students whose day ends at 3:30	The same product at 5 percent off, on campus	Fill and re-enrollment	Base load, 10 percent of the mix.

Every family answers one question at enrollment: are you considering Alpha full-time? The answer sets the lane. The lane is on the roster, the Lead Guide sees it, and the data can move a family between lanes. What the lane changes is the conversation at the AlphaTest Showcase and the report the family receives. What it never changes is the room.

The program

The Alpha day, after school

An Alpha day runs on two things: mastery-based academics on Timeback and life skills workshops. Alpha Hours compresses that day into one or two blocks. A weekday block is two hours: a ten-minute Limitless launch, two 25-minute academic sessions on Timeback with a short break between, a 40-minute life skills workshop, and ten minutes of shoutouts. Each of the two Saturday blocks runs the same day at double length: four 25-minute academic sessions, an 80-minute workshop, and a snack break in the middle. Either way the child gets the same week: 100 minutes of adaptive mastery academics and 80 minutes of life skills. Timeback delivers the instruction. The guide holds focus, effort and motivation, and leads the workshop.

Weekday block (120 minutes): Limitless launch 10, academic session 1 (Timeback) 25, break 5, academic session 2 (Timeback) 25, transition 5, life skills workshop 40, shoutouts 10.

Saturday block (240 minutes): Limitless launch 10, academic session 1 25, break 5, academic session 2 25, break 15, academic session 3 25, break 5, academic session 4 25, snack break 15, life skills workshop 80, shoutouts 10. Snacks only, no meals.

The extrinsic motivation model

The child has been through six hours of regular school and walks in tired at 4 pm. Alpha's model carries into the block twice. First, Timeback's own promise: get through your academics with focus, and the rest of the block is the workshop, the part built around things kids love. Second, the extrinsic model: students earn Alpha bucks for XP earned in Timeback and for completing the block's target, and spend them in the Alpha Hours Emporium. The Emporium is stocked centrally by the Operations VP, shipped to each Campus Coordinator, and restocked on demand. It is budgeted at \$40 per child per session, \$200 a year, and it is the line that keeps a tired child working.

The AlphaTest Showcase

Every session ends with an AlphaTest Showcase in the final week, once per cohort. Students are tested on the life skills they have worked on across the session's workshops, and parents come to see it. It is how the life skills commitment gets measured instead of assumed, and it puts every parent in the building in the same week they receive the child's mastery map and weeks-to-grade-level report, which is where the re-enrollment conversation happens. It is budgeted at

\$2,000 per campus per session (four cohort events: setup, staging, parent refreshments, extra guide hours) plus \$5 per child for the printed mastery report and certificate.

Snacks

Snacks only, never meals, at every block: a snack at the weekday break, and a full snack break on Saturday. Budgeted at \$30 per child per session: a weekday-track child attends 14 blocks a session at about \$2 each, a Saturday child attends 7 four-hour blocks at about \$4 each. Meals are avoided on purpose, because meals trigger childcare licensing in several states.

Schedule and tracks

Runs Monday through Thursday afternoons and Saturday. The weekday block starts where the Alpha school day ends, so the building never goes dark and every child is home for dinner. Each family picks a two-day weekday track, Monday and Wednesday or Tuesday and Thursday, or a single Saturday block, morning or afternoon.

Weekday	Time
Guide setup	3:30 to 3:45 pm
Drop-off	3:45 to 4:00 pm (current Alpha students transition on campus)
Block	4:00 to 6:00 pm
Dismissal and clean up	6:00 to 6:15 pm

Saturday	Time
Setup	8:45 to 9:00 am
AM block	9:00 am to 1:00 pm
Transition	1:00 to 2:00 pm (staggered pickup and drop-off; no lunch served)
PM block	2:00 to 6:00 pm
Clean up	6:00 to 6:15 pm

Every campus runs four cohorts a week: Monday/Wednesday, Tuesday/Thursday, Saturday morning, Saturday afternoon. The same room and the same guide team serve all four.

Middle and high school block: Session 4 (February 24, 2027) at New York Maiden Lane and Greenwich, all pilot campuses Fall 2027, national with the build. Weekdays 6:15 to 8:15 pm, same spine, Alpha Max and Alpha X programming in the workshop slot. Adds two cohorts per campus, lifting the ceiling from four times room capacity to six.

Break weeks: the same room runs a full-day week, 9:00 am to 3:00 pm, in the school-break weeks between sessions at the Alpha Summer price of \$4,500 a week. First one April 19 to 23, 2027. Two a year from Year 2.

Capacity

Room capacity is seats filled at one time. Four cohorts share every room, so enrolled = seats x 4. A 100-seat room fills to 400 enrolled. New York runs two rooms: 180 Maiden Lane (100 seats, 400 enrolled) and 156 William Street, the Early Learning Center (30 seats, 120 enrolled), the early-years room for kindergarten through second grade. The two buildings are blocks apart and share one Campus Coordinator.

Enrollment: one session at a time

Five sessions a year, each about seven weeks. Families sign up one session at a time, weekday track or Saturday block, one-session minimum, \$500 non-refundable deposit at sign-up applied to the fee. Re-enrollment for the next session opens in week 4 to enrolled families first. Five sessions prepaid at \$22,500 holds the seat and track for the year with first pick of cohort, at list, no discount. No sibling discount.

From the sixth session every seat reprices to the continuation rate, \$5,000 premium and \$4,000 standard, unless the family has an Alpha application on file, in which case the year-one rate holds. Nobody is required to apply; the application is the discount. No family is exited for staying. Where a cohort holds a waitlist, families with applications on file hold their seats first. Current Alpha students are exempt from both.

Market analysis

The market

US families already spend about **\$40 billion a year** on tutoring and after-school combined:

- Tutoring is an **\$18.9 billion** industry growing about 11 percent annually, K-5 the fastest segment (IBISWorld, 2025). Participation rose from 19 to 24 percent of students between 2024 and 2025.
- After-school is a **\$21.0 billion** industry, 7 million children enrolled and **22.6 million more** whose families want a spot and cannot get one (Afterschool Alliance, 2025).
- High-income families already spend up to about \$9,000 per child per year on tutoring and enrichment.

Almost none of that spend comes from families shopping for a new school. It comes from families keeping the school they have and buying what it does not provide.

Layer	Definition	Size
TAM	What US families already spend on tutoring and after-school combined	~\$40B / year
SAM	The share of that spend in Alpha's metros, roughly 40 percent of premium households	~\$16B / year
SOM (today)	The full 40-campus network at capacity on K-8 blocks, 11,908 enrolled	~\$268M / year

The full network at capacity is about 1.7 percent of the serviceable market. The constraint is buildings, and Alpha adds about 20 a year.

Demand evidence, bottom-up

In NYC admissions conversations, families ask whether Alpha offers after-school without being prompted: 3 of 23 conversations in a recent 14-day window, 13 percent, with no marketing and no product to point to. The same pattern held in Nancy's prior private-school sales role across a national territory. Alpha parents nationwide ask what happens after 3:30, and today the answer is nothing. Price acceptance is proven at this exact number: Alpha Summer in the Hamptons has 174 paid registrations at \$4,500 a week, one price objection.

Where competitors price

Provider	Format	Price
Kumon	Center, worksheet self-study, 2x/week	\$150 to \$220 per subject per month
Mathnasium	Center, small group, math only	\$250 to \$500 per month
Russian School of Math	Group class, math only	\$2,000 to \$3,960 per year
Sylvan	Center, ~3:1 with software	\$40 to \$100 per hour
Huntington	Center, 1:1 and small group	\$40 to \$75 per hour, plus assessment
Fusion Academy	True 1:1 private school	\$2,700 to \$6,100 per class per term
Elite 1:1 tutoring	1:1, quote-only	\$200 to \$300+ per hour
Command Education	College consulting	\$120,000 a year, up to \$750,000 per package
Lindamood-Bell	Six-week reading intensive	\$10,000+
Alpha School (reference)	Full-day AI-first private school	\$40,000 to \$75,000 per year

No multi-subject after-school center charges above roughly \$500 a month today. Alpha Hours prices against the thing the family cannot or will not buy, an Alpha seat, not against the center next door.

What no competitor can produce

100 weekly minutes of Timeback produces a precise mastery map of where the child is in every subject, the child's measured learning velocity, and a computed answer to how many weeks at full Alpha until the child is at grade level, or the next one. The traditional school has the child six hours a day for years and produces a report card. We do not compete with Kumon. We compete with six hours of no information, and we win in seven weeks.

Pricing

Tier	Per session (about 7 weeks)	Full year (5 sessions)
Premium markets	\$4,500	\$22,500
Standard markets	\$3,500	\$17,500
Current Alpha families (5 percent discount)	\$4,275 premium / \$3,325 standard	\$21,375 / \$16,625
Continuation rate from the sixth session (waived with an Alpha application on file)	\$5,000 premium / \$4,000 standard	
Break weeks	\$4,500 a week	

Every pilot campus is priced at the premium tier, Chicago included. Waitlist repricing: any cohort that closes a session with a waitlist reprices by \$500 the next session, mechanically.

A session is four hours a week for seven weeks, about 28 hours: about \$161 an hour, just under elite 1:1 tutors who cover one subject. The full year is roughly a third of full Alpha tuition. We quote the session and the year, never the hour.

Team and roles

Central team

Role	Compensation	Responsibility
Head of Alpha Hours (Nancy Wisniewski Torvund)	\$400,000	Strategy, pricing, national rollout, campus relationships, guide hiring and training, the full P&L. Reviewed every session on revenue, site profit and re-enrollment; reports full-time Alpha enrollments as the upside line.
Operations and Admin VP	\$200,000	Remote. Registration end to end (sign-ups, lane tagging, cohort placement, waitlists, repricing, roster handoff), compliance filings, insurance, host-campus agreements, central procurement (laptops, supplies, snacks, Emporium inventory), weekly reporting by cohort and lane.
Operations support	\$100,000	Added under the VP as the footprint grows.

Central team about \$700,000 base, about \$875,000 fully loaded.

Site team, per campus

Role	Compensation	Notes
Lead Guide	\$75,000	Manages the guides, onboarding, programming, quality. About 21 hours a week. Every building has one, William Street included.
Campus Coordinator	\$50,000 (50 percent role)	Inventory, laptop setup and student accounts, Emporium stock, snack orders, coordination between admin and guides. New York's two buildings share one.
Guides	\$50,000 each, part-time	Dedicated Alpha Hours guides. Weekdays about 2.75 hours (3:30 to 6:15) four days a week plus a roughly 10-hour Saturday, about 21 staff-hours a week.

Staffing ratio: one guide per ten students

One guide per 10 students in the room, a two-adult minimum whenever children are present, extra attention to the youngest. Because the same guide team serves all four cohorts, one guide covers 10 seats and therefore up to 40 enrolled students. A campus staffs guides equal to seats divided by 10: a 100-seat room carries 10 guides, a 40-seat room 4, the 517-seat Chicago room 52. Guides are hired to sold seats, so a half-full room carries half the guides and no room opens

understaffed. Every guide completes the Alpha Hours training program before running a room: shadowing at Alpha NYC and an AI-first asynchronous course.

07

The cost model

Every number in this plan comes from one model. This section lists every cost line, what drives it, and what it comes to.

Per child, per session

Line	Basis	Per session	Per year (5 sessions)
Timeback license	Platform seat for the session	\$150	\$750
Extrinsic motivation model	Alpha bucks redeemed in the Emporium, inventory at cost	\$40	\$200
Supplies	Workshop materials, consumables	\$15	\$75
Snacks	About \$2 per weekday block or \$4 per Saturday block, 14 or 7 blocks a session	\$30	\$150
AlphaTest Showcase, per child	Printed mastery map, certificate	\$5	\$25
Payment processing	3 percent of \$4,500	\$135	\$675
Local marketing	Per enrolled family	\$60	\$300
Variable cost per child		\$435	\$2,175
Session fee		\$4,500	\$22,500
Contribution before guides		\$4,065	\$20,325
Guides at even fill	One guide per 10 seats serves 40 enrolled: \$50,000 / 40	\$250	\$1,250
Contribution after guides		\$3,815	\$19,075

Per campus, per year (fixed)

Line	Basis	Per year
Lead Guide	Full role	\$75,000
Campus Coordinator	50 percent role	\$50,000
Facility	Custodial, HVAC and lighting, security after hours, largely intracompany	\$45,000
Insurance	General liability, professional liability, workers' compensation, abuse and molestation coverage	\$8,000
AlphaTest Showcase events	\$2,000 per campus per session, four cohort showcases, five sessions	\$10,000
Fixed cost per campus		\$188,000

William Street shares New York's coordinator, so its fixed cost is \$138,000.

Guides, per campus

One guide per 10 seats at \$50,000, hired to sold seats. At capacity: 10 guides at a 100-seat room (\$500,000), 8 at Greenwich (\$400,000), 4 at Boston A (\$200,000), 3 at William Street (\$150,000), 15 at Miami (\$750,000), 6 at Palm Beach (\$300,000), 5 at Miami Beach (\$250,000), 52 at Chicago's 517 seats (\$2,600,000).

A 100-seat campus at capacity, per year

Line	Per year
Revenue: 400 enrolled x \$4,500 x 5	\$9,000,000
Timeback	\$300,000
Extrinsic motivation model (Emporium)	\$80,000
Supplies	\$30,000
Snacks	\$60,000
AlphaTest Showcase (reports plus five events)	\$20,000
Payment processing	\$270,000
Local marketing	\$120,000
Guides, 10 at \$50,000	\$500,000
Lead Guide	\$75,000
Campus Coordinator	\$50,000
Facility	\$45,000
Insurance	\$8,000
Total cost	\$1,558,000
Site profit	\$7,442,000 (83 percent)

The three biggest lines are guides, Timeback and payment processing. The motivation model, snacks and the showcase together are \$160,000 on a \$9M campus, under 2 percent of revenue, and they are the lines that make children want to come back.

Financials

Pilot campuses at capacity

Campus	Opens	Seats	Enrolled	Guides	Revenue	Variable	Guides	Fixed
New York, 180 Maiden Lane	Session 2	100	400	10	\$9.00M	\$0.87M	\$0.50M	\$0.19M
New York, 156 William Street	Session 2	30	120	3	\$2.70M	\$0.26M	\$0.15M	\$0.14M
Greenwich (Armonk)	Session 3	80	320	8	\$7.20M	\$0.70M	\$0.40M	\$0.19M
Boston A	Session 3	40	160	4	\$3.60M	\$0.35M	\$0.20M	\$0.19M
Boston B	Session 3	100	400	10	\$9.00M	\$0.87M	\$0.50M	\$0.19M
Chicago	Session 4	517	2,068	52	\$46.53M	\$4.50M	\$2.60M	\$0.19M
Miami	Session 4	150	600	15	\$13.50M	\$1.30M	\$0.75M	\$0.19M
Palm Beach	Session 4	60	240	6	\$5.40M	\$0.52M	\$0.30M	\$0.19M
Miami Beach	Session 4	50	200	5	\$4.50M	\$0.43M	\$0.25M	\$0.19M
Launch total, Session 2 (New York)		130	520	13	\$11.70M	\$1.13M	\$0.65M	\$0.33M
Session 3 total (plus Greenwich, Boston)		350	1,400	35	\$31.50M	\$3.04M	\$1.75M	\$0.89M
Full pilot total, Sessions 4 and 5		1,127	4,508	113	\$101.43M	\$9.80M	\$5.65M	\$1.64M

New York alone: 130 seats, 520 enrolled, \$11.7M revenue, \$9.6M site profit. Less the central team, the full pilot run rate nets about \$83.5M a year.

Pilot P&L by session, plan case

The plan is the number the Head is held to. Each campus follows the same ramp from its own first session: 60 percent fill in its first session, 75 percent in its second, 90 percent in its third, full from its fourth. Guides are hired to sold seats, so guide cost moves with fill. Fixed cost is charged per open campus.

Line	Session 2	Session 3	Session 4	Session 5	Year 1
Campuses open	2	5	9	9	
Enrolled	312	918	2,993	3,643	
Revenue	\$1.40M	\$4.13M	\$13.47M	\$16.39M	\$35.40M
Variable cost (Timeback, motivation, supplies, snacks, showcase, processing, marketing)	\$0.14M	\$0.40M	\$1.30M	\$1.58M	\$3.42M
Guides on payroll	8	25	77	94	
Guide cost	\$0.08M	\$0.25M	\$0.77M	\$0.94M	\$2.04M
Campus fixed cost	\$0.07M	\$0.18M	\$0.33M	\$0.33M	\$0.90M
Site profit	\$1.12M	\$3.30M	\$11.07M	\$13.54M	\$29.04M
Site margin	80%	80%	82%	83%	82%
Central team					\$0.88M
Net					\$28.2M

Year 1, three cases

Case	Revenue	Site profit	Net after central team
Capacity (100 percent at every open campus)	\$49.2M	\$40.8M	\$39.9M
Plan (60 / 75 / 90 / 100 by each campus's own session count)	\$35.4M	\$29.0M	\$28.2M
Floor (25 percent all year)	\$12.3M	\$9.5M	\$8.6M

The exit run rate matters more than the Year 1 total: leaving Session 5 at plan, the pilot is running at \$16.4M a session, \$82M a year, before the national launch. Year 1 additions at capacity: the April 2027 break week (\$5.1M on 1,127 seats) and the evening block at Maiden Lane and Greenwich from Session 4 (\$3.2M inside Year 1), about \$57M of Year 1 revenue at capacity and about \$44M at plan.

Revenue by lane

Figures at full pilot capacity, 4,508 enrolled.

Lane	Share	Families	Session revenue a year	Value beyond the session fee
Stay (the business)	70%	3,156	\$71.0M	Three years at year-one then continuation rates: \$72,500 a family; five years \$122,500
Considering (upside)	15%	676	\$15.2M	Two sessions plus a 20 percent conversion at \$240,000: \$57,000 expected; non-converters move to Stay
Path to yes (upside)	5%	225	\$5.1M	Three sessions plus a 20 percent admit rate at \$240,000: \$61,500 expected
Current Alpha families	10%	451	\$9.6M (after discount)	Retention of a family already paying full tuition

Seventy percent of the revenue comes from families who will never enroll, and it is the most durable 70 percent.

Launch budget and cash

One-time launch budget for New York of about \$141K: guide training cohort \$29K, New York exemption filing and legal \$15K, launch marketing \$40K, loaner device pool \$16K, insurance deposits \$8K, Emporium opening inventory \$3K, registration and payments stack \$30K. Session 2 deposits alone (\$500 on 312 plan enrollments, \$156K) cover it. Each later step is paid from the sessions before it: Greenwich and Boston from Session 2 revenue, Chicago and Florida from Session 3, the national launch from Sessions 4 and 5. Enrollment closes before each session starts and the balance is due before day one, so every session's revenue is collected before its costs are paid. The program never needs working capital from the school.

Downside and the floors

Contribution per enrolled student is \$20,325 a year before guides. Minimum operating cost per campus, fixed cost plus the two-adult minimum, is about \$288K, so break-even is 15 enrolled students per campus, about 4 per cohort. Guides are hired to sold seats, so site margin holds between 72 and 83 percent at every fill level above break-even, and the maximum downside at any site is seven weeks of payroll: no capex, no lease, part-time staff, one-session enrollment.

Two mechanical floors. Cohort floor: a cohort that has not sold 10 seats two weeks before session start (October 5, 2026 for Session 2) does not open, and its families roll into another cohort. Site floor: a campus below break-even at week 3 of its first session (the week of November 2 for New York) closes at session end.

Fill, full pilot footprint, annual	Enrolled	Revenue	Site profit	Net
25%	1,127	\$25.4M	\$19.7M	\$18.8M
50%	2,254	\$50.7M	\$41.3M	\$40.4M
75%	3,381	\$76.1M	\$62.7M	\$61.8M
100%	4,508	\$101.4M	\$84.3M	\$83.5M

Every \$500 on the session price is \$10.9M a year on the full pilot at capacity, which is why waitlist repricing is mechanical.

The national build

Step	Session	Campuses added	Seats added	Enrolled added	Run rate
Launch	Session 2, October 19, 2026	New York (2)	130	520	\$11.7M
Step 2	Session 3, January 4, 2027	Greenwich, Boston (2)	220	880	\$31.5M
Step 3	Session 4, February 24, 2027	Chicago (517), Miami, Palm Beach, Miami Beach	777	3,108	\$101.4M
Hold	Session 5, April 26, 2027	None: nine campuses, a full session, no new openings	0	0	\$101.4M
National	Session 1, Fall 2027	Austin (300) and every remaining campus, about 30 at 50 seats each	1,850	7,400	\$267.9M

Full network at capacity, about 40 campuses, K-8 blocks only: 11,908 enrolled, \$267.9M revenue, about \$220M site profit (about 82 percent), about \$216M net after a central team that grows to about \$4M. Year 2 at 75 percent network fill with the evening block and break weeks: about \$271M revenue, about \$221M net. Year 3 at 90 percent: about \$356M, about \$292M.

The feeder (upside)

One conversion to full Alpha is worth \$160,000 to \$325,000 in lifetime tuition. Modeled conversion 4 to 8 percent of all enrolled families, replaced by the measured number after Session 2. Nothing in the plan depends on it. On the full pilot's 4,508 enrolled at a \$240,000 midpoint: 4 percent is 180 enrollments, about \$43M; 8 percent is 361, about \$87M. On the full network: 4 percent about \$114M, 8 percent about \$229M. The family pays \$4,500 a session while it decides, against a private-school industry median of about \$3,700 in marketing spend per enrolled student, so acquisition cost per full enrollment is negative.

Operations and compliance

Real estate

The building is a sunk cost Alpha already carries, owned or leased, with after-hours and weekend access either way. Late-afternoon and Saturday use adds marginal cost only: about \$150 to \$250 per weekday, about \$400 per Saturday, largely intracompany.

Licensing

Alpha Hours is designed and marketed as academic instruction, not childcare:

- Every block is curriculum-driven instruction end to end: timed mastery sessions on Timeback and a structured life skills workshop.
- Snacks only, never meals, because meals trigger childcare licensing in several states (Florida especially).
- A formal host-campus facility-use agreement at every site.
- A written exemption determination per state before opening, never self-declared: New York before Session 2, Connecticut and Massachusetts filed alongside it in September for Session 3, Illinois and Florida filed in November for Session 4, Texas and every remaining state in the spring for the national launch. The Saturday format and the break-week format are flagged specifically in each request.

Safety and insurance

FBI background checks on every hire (fingerprint criminal check, national sex offender registry, state child-abuse registry), verified complete before day one. Minimum two adults on site at all times. Insurance per site: general liability, professional liability, workers' compensation, and sexual abuse and molestation coverage.

Rollout

Session 2 (October 19 to December 18, 2026): New York, sold to the whole city

180 Maiden Lane (100 seats) and 156 William Street (30 seats), all four cohorts on sale, no cap and no small-group phase. Sales open in September to the whole city, not the funnel: the 1,000-plus HubSpot families from the Hamptons outreach, the 174 paid Hamptons families, and the parent networks of every school in the Financial District, sold as the best after-school program in the city. The admissions pipeline is the second list. Cohort floor decision October 5. Week-3 checkpoint the week of November 2. Re-enrollment for Session 3 opens the week of November 9. While New York runs, Greenwich and Boston hire and train their guides in the New York rooms.

Pilot success criteria and the decision rule

The pilot succeeds on two measured numbers: session-over-session re-enrollment at or above 70 percent, and plan fill (60 percent in a campus's first session, 75 percent in its second). Those are the business. Conversion is the upside, measured with the same rigor through a six-stage funnel, per family, per lane, per campus, against a matched baseline, without being a pass or fail condition. Each step is released at the week-3 checkpoint of the session before it: Greenwich and Boston at the Session 2 checkpoint if New York fill is at or above 40 percent and neither building is below its site floor; Chicago and Florida at the Session 3 checkpoint on the same test plus Session 2 re-enrollment at or above 60 percent; the national launch at the Session 5 checkpoint (week of May 10, 2027) on plan fill across the pilot and Year 1 re-enrollment at or above 70 percent. Conversion below 6 percent triggers a funnel review, not a pause.

Session 3 (January 4, 2027): Greenwich and Boston

Greenwich (80) and both Boston campuses (40 and 100) open on the New York playbook with guides trained in the New York rooms. 350 seats, 1,400 enrolled, a \$31.5M run rate at capacity. Illinois and Florida exemption requests are filed in November.

Session 4 (February 24, 2027): Chicago, Florida, and the evening block

Chicago opens at its expanded 517 seats, the network's largest room and the national build in miniature. Miami (150), Palm Beach (60) and Miami Beach (50) open the same session. Nine campuses, 1,127 seats, 4,508 enrolled, a \$101.4M run rate at capacity. The evening block opens at Maiden Lane and Greenwich.

Session 5 (April 26 to June 18, 2027): hold and prove

No new openings. The first break week runs April 19 to 23 across the pilot. The pilot leaves the year at an \$82M run rate on plan with four sessions of measured data in five markets, and the Session 5 checkpoint releases the national launch with the summer to hire and train.

Session 1, Fall 2027: national launch

Austin (300 seats) and every remaining campus, about 30 at a conservative 50 seats, open with the 2027–28 school year. Network: about 40 campuses, 11,908 enrolled on K–8 blocks, \$267.9M run rate at capacity. The evening block launches at every pilot campus the same fall, and two break weeks a year become standard. The network grows with every campus Alpha opens.

Risks and how we manage them

Risk	Response
Reputation: Alpha Hours is many families' first Alpha experience	The guide training program runs at Alpha NYC; guides are staffed to sold seats; the Lead Guide owns quality in every building; the week-1 exit process protects every room; the AlphaTest Showcase puts the proof on a stage every seven weeks.
A wrong-fit student disrupts the room	Two logged incidents in week 1 is an exit before week 2, with the incident record and a prorated refund. A child who needs a level of support that compromises the room is the second trigger. Both standards are published at enrollment.
Students who need 1:1 support	The model is 1 guide per 10 students and cannot deliver 1:1. Stated on the landing page before any family pays.
Fill is lower than plan	Guides are hired to sold seats, fixed cost per campus is \$188K, break-even is 15 students, and the floor case still nets about \$8.6M on nine campuses.
Families park in Alpha Hours instead of converting	That is the product, and the plan is sized on it. From the sixth session the seat reprices to \$5,000 unless an application is on file.
Saturday competes with youth sports	Two Saturday blocks, two weekday tracks, session-at-a-time enrollment.
A state treats the program as licensed childcare	Curriculum-driven blocks, snacks not meals, a host-campus agreement, a written exemption per state before opening.
Guide supply at national scale	Public school and retired teachers exist at scale in every metro; the training program standardizes quality before any guide runs a room.
One market in Session 2 is slow	It is one seven-week session, and it buys the measured New York number every later step runs on. Greenwich and Boston open the next session, Chicago and Florida the one after, the network the following fall. Nothing waits a year, and every campus opens on a playbook that has already run.
Alpha's academic claims are internal, not audited	Report each child's own Timeback mastery data to that child's parents rather than network-wide claims.

The one-sentence case

THE ONE-SENTENCE CASE

Alpha Hours turns empty Alpha buildings into a profitable, premium after-school business built for the families who will never enroll at Alpha, which is most of them, and hands the school a paid, data-rich admissions channel as the upside.

Sources: alpha.school (program, locations, admission, tuition), Alpha Summer registration data, IBISWorld 2025 (tutoring and after-school industry size), Afterschool Alliance America After 3PM 2025, Cube Creative Design 2026 Private School Marketing Budget Planning Guide, Spiral Marketing day-school benchmarks, and current published pricing for Kumon, Mathnasium, Huntington, Sylvan, Fusion Academy, RSM, Command Education, and Lindamood-Bell. Alpha's learning-speed and test-score figures are Alpha's own internal data and are not independently audited.

Alpha's learning-speed and test-score figures cited throughout are Alpha's own internal data and are not independently audited.